

shorter, of course. After that, a small extension forms from F to C, which is what you're looking for. If you want to conclude that line C marks the end of the extension, that's fine. But I wanted to discuss the drop at E and chose this flawed example of an extended V-bottom.

Table 70.1 Identification Guidelines

Characteristic	Discussion
Appearance	A straight-line run down (or nearly so) on the left side of the V followed by an upward retrace that sees price recover some but not all of the prior drop. Price moves sideways to down in the extension before resuming an upward move.
Plunge	From the top of the V to the bottom, price drops at least 15%, but the average is higher: 29%.
Extension	After price retraces a portion of the left-side drop (of the V), price moves horizontally to down, forming the extension. It does not drop far enough to form a second bottom. Rather, price pauses for a time in its upward move before resuming the uptrend. The median extension is 14 days long.
Volume	Trends downward from the start of the V to the day before the breakout (extension end).
Breakout, confirmation	A breakout occurs when price closes above the right side of the V, before the extension. The breakout is upward most of the time. You may wish to wait for price to close above the top of extension. The breakout confirms the pattern.
Duration	3 weeks to 3 months.